Euro Pratik Sales Ltd

Concall tracker · filed under Q2-2027 · 11 Nov 2026

1. Snapshot

Euro Pratik designs and sells decorative wall panels and premium laminates under the Euro Pratik and Gloirio brands. It doesn't make them itself: 45+ contract manufacturers in India and abroad (South Korea, China, US, Romania, Turkey, Indonesia, Portugal) make to its designs, and it sells through about 208 distributors. It listed on NSE and BSE on 23 Sep 2025 and has since been buying retail and trading businesses (Uro Veneer World, Chawla Brothers, Fabwood) and now a laminate and veneer maker (Drashti Surfaces).

- Market cap about Rs 1,985 cr: what the market values the whole company at.
- Q2 FY27 consolidated revenue Rs 115.7 cr, up about 20% from Rs 96.6 cr a year ago. H1 FY27 revenue Rs 219 cr vs Rs 161 cr, up about 36%: most of that jump comes from the businesses it bought.
- Q2 FY27 consolidated EBITDA margin 31.4% vs 32.5% a year ago, and H1 29.6% vs 33.8%: the bought businesses earn thinner margins, so the group margin is slipping.
- Core business (Euro Pratik plus Gloirio) EBITDA margin about 36% in H1 FY27: the original brand business still earns rich margins.
- Standalone (parent-only) sales on Screener fell about 17% in the September quarter: management says non-core products are now bought directly by the acquired units, so they no longer show at the parent.
- Borrowings about Rs 8 cr against reserves of Rs 283 cr: practically debt free. Working-capital days rose to about 224 in FY26 from 138 in FY24: a lot of cash sits in stock and receivables.

2. Concall coverage

Only three transcripts exist since the September 2025 listing, and two of them are acquisition calls. The Q4 FY26, Q1 FY27 and Q2 FY27 earnings calls have no transcript on Screener (the Nov 2026 call has only a recording). The latest quarter is read from the Q2 FY27 investor presentation and the 5 Nov 2026 Drashti acquisition presentation. With so few calls the consistency read is limited.

Quarter / call	Date	Transcript read?
Uro Veneer World acquisition call	17 Nov 2025	Yes, read in full
Q3 FY26 earnings call	9 Feb 2026	Yes, read in full
Fabwood Solutions acquisition call	24 Sep 2026	Yes, read in full
Q2 FY27 investor presentation + Drashti acquisition presentation	Nov 2026	Presentations read (no transcript out)

2b. Latest update highlights: Q2 FY27 presentation and Fabwood call (Sep-Nov 2026)

- Q2 FY27 consolidated revenue up about 20% and PAT up about 15% year on year (presentation). Profit grew slower than sales because the bought businesses carry lower margins.
- FY27 guidance from the Sep 2026 call: top line to grow 'at least 35% to 40%', with a consolidated PAT margin of about 20-22%. H1 revenue growth of about 36% is on that track.
- Fabwood (timber and engineered wood, South India): 56% stake for up to Rs 42.7 cr from internal accruals, expected to close by 8 Oct 2026. Fabwood did about Rs 45 cr sales and Rs 5.5 cr PAT in FY26.
- Drashti Surfaces (announced 5 Nov 2026): 51% for Rs 31.12 cr plus up to Rs 20 cr loan. It makes premium laminates at Silvassa and veneers at Bhilad, so Euro Pratik gets its own factories for the first time. Projected revenue Rs 120 cr in FY28.
- Tone: confident and deal-hungry. Management says it wants to stay premium and avoid commodity products.

2c. Business mix & capacity

- Domestic about 97.7% / outside India about 2.3% of sales (Q2 FY27 presentation): almost entirely an India business.

- Revenue mix Q2 FY27: decorative wall panels 55.5%, laminates 24.0%, others 20.5%. Wall panels were about two-thirds a year earlier; the share is falling as acquired businesses add other products.
- Capacity: asset light, no own plants until Drashti. Warehouses about 80% used (Feb 2026). Drashti's laminate plant runs at about 75% and its veneer plant at about 50%, so both have room to grow.

3. Earning trigger thesis

The growth story is now mostly bought. The core wall-panel brand grows slowly (standalone sales are shrinking as sourcing moves to the subsidiaries), while each acquisition adds a retail or trading business that sells Euro Pratik products alongside its own. Management promises 35-40% revenue growth in FY27 on this, and so far the numbers match. The catch is that every deal is lower margin than the core, so profit grows slower than sales, and working capital has stretched.

Trigger	What management said	Evidence so far	Time horizon	Strength
Acquisitions (Uro Veneer World, Chawla Brothers, Fabwood, Drashti)	Forward integration into retail and new categories; FY27 revenue up 35-40%	H1 FY27 revenue up about 36%; Q4 FY26 revenue up about 28%	FY27	Moderate: growth is real but bought, and margins thin
Own manufacturing via Drashti	From curating to creating: own laminate and veneer plants	Deal announced Nov 2026, closing within 90 days	FY28	Unproven
Cross-selling through 208 distributors	Push acquired products (timber, veneers) pan-India	Too early to see	1-2 years	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed; already near debt free
New business	Yes	Fabwood gives 'an entry into the timber and value-added wood products segment' (24 Sep 2026); Drashti adds own veneer and laminate plants (Nov 2026)
Margin up	No	Group margin slipping; management says acquired units 'would not be as high' as core (24 Sep 2026)
New management	No	No change in MD or CFO
New capacity	No	No plant build; Drashti plants are bought, not new
Big orders	No	Not an order-book business
Turnaround	No	Not applicable
Promoter buying	No	Not said on the calls

Single concrete driver: A string of acquisitions (Uro Veneer World, Chawla Brothers, Fabwood and now Drashti) is driving fast consolidated sales growth, while the core wall-panel brand grows slowly.

3c. Margin bridge

Consolidated EBITDA margin was 29.6% in H1 FY27 against 33.8% a year earlier. The core Euro Pratik and Gloirio business held about 36%, so the fall comes from adding lower-margin retail, wholesale and timber businesses. Management expects the consolidated PAT margin to settle around 20-22%. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict

Q3 FY26 call (Feb 2026)	Q4 FY26 revenue up at least 25% including the acquisition	Consolidated Q4 revenue up about 28%	Delivered
Q3 FY26 call	EBITDA margin around 40% plus or minus 2-3%	Q4 FY26 about 27%, H1 FY27 about 30% consolidated; core about 36%	Missed (on a group basis)
Uro call (Nov 2025)	Uro Veneer World deal closes by mid Dec 2025	Consolidated from 1 Dec 2025	Delivered
Q3 FY26 call	More acquisitions 'in the coming months'	Chawla Brothers (Apr 2026), Fabwood (Sep 2026), Drashti (Nov 2026)	Delivered
Fabwood call (Sep 2026)	FY27 revenue up at least 35-40%	H1 FY27 up about 36%	Too early (on track)

The story has shifted from an asset-light, high-margin brand to an acquisitive interior-surfaces platform with retail, timber and now its own factories. Management delivered the revenue promises, but the 40% margin talk of February quietly gave way to a 20-22% PAT margin target once the deals started to consolidate. Three deals in under a year is a lot to integrate.

5. Bottom line

Durable earning trigger? → MAYBE

Sales are growing fast, but mostly from businesses it bought, and each one dilutes margins. The core brand's own growth is hard to see because sourcing moved to the subsidiaries. It's a plausible platform story, not yet proof of a durable earnings engine.

Management consistent? → YES

On the things that can be checked, management did what it said: the Q4 growth target was met, deals closed on time, and H1 FY27 is tracking the 35-40% guidance. The margin language moved, but it was explained by the acquisitions rather than hidden.

6. Checkpoints for next quarter

- Full-year revenue growth guidance of 35-40% is held
- Drashti Surfaces deal closes within the 90-day window
- Core Euro Pratik and Gloirio EBITDA margin stays around mid-thirties

Sources: Screener.in (EUROPRATIK) transcripts of 17 Nov 2025, 9 Feb 2026 and 24 Sep 2026 calls; Q2 FY27 investor presentation; Drashti Surfaces acquisition presentation (5 Nov 2026); Screener financial tables. This is not investment advice. Do your own due diligence.